

Japan Industrial Electronics: 1Q wrap/overseas read-across: Earnings growth likely to continue, partly on new optical/power technologies

We summarize 1Q earnings for the Japan industrial electronics sector and the read-across to our coverage from earnings at related overseas companies.

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Overview of Japan industrial electronics earnings

Nine of the 11 companies revised up their full-year operating profit guidance, with an average upward revision of 10%. Fujikura, Hitachi, Panasonic, Mitsubishi Electric, and Furukawa Electric were the top contributors. The largest contributions to guidance raises came from information & communications (optical) and FA-related businesses. Among those that raised guidance, we highlight optical-related names Panasonic and Mitsubishi Electric, which we believe still have significant room for further upward revisions, including from forex. Anritsu and Daihen did not raise guidance at 1Q results and saw weaker share price performance around the time of their announcements, but we confirmed strong order growth for both, and we see potential for solid 1H results.

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Exhibit 1: Japan industrial electronics: Old vs. new FY3/27 guidance and pre/post-1Q earnings stock price performance

(mn JPY)	Before revision	After revision	Increase in OP	Change %	Contribution	Before earnings	8/13/2026	Stock price: Change %
Fujikura	310,000	432,000	+122,000	39%	33%	4,596	5,760	25%
Hitachi	1,315,000	1,408,000	+93,000	7%	25%	4,890	5,702	17%
Panasonic HD	600,000	650,000	+50,000	8%	13%	3,507	4,679	33%
Mitsubishi Elec.	590,000	620,000	+30,000	5%	8%	5,318	6,020	13%
Furukawa Elec.	95,000	123,000	+28,000	29%	8%	3,919	4,111	5%
Sumitomo Elec.	425,000	450,000	+25,000	6%	7%	2,110	2,335	11%
Fuji Elec.	142,500	156,500	+14,000	10%	4%	12,045	14,970	24%
SWCC	28,500	33,000	+4,500	16%	1%	11,960	13,930	16%
Meidensha	29,000	33,000	+4,000	14%	1%	8,360	11,880	42%
Anritsu	20,000	20,000	+0	0%	0%	3,438	3,690	7%
Daihen	25,000	25,000	+0	0%	0%	13,700	13,980	2%
Total	3,580,000	3,950,500	+370,500	10%	100%	3,964	4,176	5%

Hitachi, Panasonic HD, and Mitsubishi Electric figures are adjusted operating profit. The pre-earnings stock price is the closing price on the day before the results. The overall stock market is represented by TOPIX (pre-earnings stock price based on July 28).

Source: Company data, LSEG Data & Analytics

Read-across from related overseas companies**Hyperscalers**

Investment appetite among US hyperscalers remains strong, and while some of this includes the impact of elevated prices for memory and other components, hyperscalers have indicated that high levels of investment will be maintained this year and next. On the other hand, some commentary suggests hyperscalers will respond flexibly if demand changes, and for Japan industrial electronics companies with high AI exposure, their share prices are likely to continue to be influenced by AI demand trends and news flow.

Optical-related companies

Demand remains strong, with further signings of long-term contracts evident. Some companies have commented that demand for CPO/NPO is accelerating, with Lumentum and Coherent stating that shipments of related products will begin in the 2H27. While it is difficult to predict when CPO/NPO will become the mainstream, we believe the equity market will once again turn its attention to technologies related to these themes.

Power equipment-related companies

GEV commented that it will begin test shipments of 800VDC-compatible SSTs to hyperscalers, with commercialization expected to begin as early as 2027. We also get the impression that demand for MV UPS (medium-voltage UPS), which contributes to grid stabilization, is increasing. Per company commentary, demand for modular solutions that integrate transformers, UPS, and cooling systems is rapidly increasing due to the strong need to shorten construction periods. Among Japan industrial electronics names, Hitachi already offers container-type DCs and may benefit from growing demand. Competition in power-related business is becoming more reflective of companies' comprehensive capabilities, and our impression is that acquisitions of the necessary technologies are stepping up overseas.

Industrial electronics 1Q earnings (1): Optical-related companies

Fujikura | Buy | TP ¥7,600 (from ¥7,500): Showed resilience in accumulating profits despite supply constraints. The continuity of current projects in FY3/28 is uncertain, but we expect hydrogen/other constraints to ease (report [here](#))

- Infocommunications OPM rose to 37.0% (vs. 23.6% in 1Q3/26, 20.4% in 4Q3/26)
 - Optical components for non-US DC projects. Favorable pricing due to short delivery times, also avoiding US tariff impact.
- Major upward revision to full-year operating profit guidance from ¥310 bn to ¥432 bn (+39.4% vs. June 18 announcement). 2H OPM guidance raised from 19.9% to 25.1%.
 - Non-US projects to continue in 2H (FY3/28 uncertain).
 - We positively view the company's high execution capabilities, building up profits even under supply constraints.
- GSe operating profit revisions: +31%/+2%/+13%

Furukawa Electric | Buy | TP ¥6,400 (from ¥7,200): Impression that liquid cooling module sales are exceeding initial plans. Financing risk concerns could be an overhang (report [here](#), [here](#))

- Optical Solutions: 1Q operating profit ¥9.2 bn / OPM 15.3%. Full-year OP guidance raised from ¥27 bn to ¥43 bn.
 - Volume, mix, and price revisions progressing simultaneously.
 - Total ¥100 bn investment in optical fiber capacity expansion (mass production from 2H3/29).
- Information Components: 1Q operating profit ¥7.4 bn (GSe ¥8.3 bn). Full-year guidance raised from ¥39 bn to ¥51 bn. Liquid cooling module production began in June.
 - Thermal business as a whole guided to contribute c. +¥18 bn to profit in 2H vs 1H.
- Major upward revision to full-year operating profit guidance from ¥95 bn to ¥123 bn.
- GSe operating profit revisions: +30%/+17%/+6%. TP cut on multiple update (EV/EBITDA 25x -> 20x).

Sumitomo Electric Industries | Buy | TP ¥3,300 (from ¥3,400): The main reason for the upward revision was in non-DC areas, making for somewhat unclear results (report [here](#))

- 1Q operating profit of ¥97.1 bn (GSe ¥88.8 bn) was above our estimate. The main drivers of the beat were industrial materials and environment & energy, not infocommunications.
 - Infocommunications: Operating profit ¥27.2 bn / OPM 31.5%.
 - Results included both positive and negative one-off factors (Negative =

polyethylene shortage, optical device plant shutdown for about half a month / Positive = US tariff refund).

- Full-year operating profit guidance raised from ¥425 bn to ¥450 bn. The largest revisions were in industrial materials and environment & energy. Infocommunications guidance was raised only slightly. Automotive was revised down slightly.
- Production expansion plans are clear: Optical devices +40% from FY3/26 to FY3/27, +70% from FY3/27 to FY3/28. For InP substrates, the plan for a three-fold increase from FY3/25 to FY3/29 and a 1.7x increase from FY3/27 to FY3/29 is unchanged but being accelerated. From FY3/30 onward, a further increase of about 20% from FY3/29 is planned.
- GSe operating profit revisions: -0%/-1%/-1% (minor revisions).

SWCC | Buy | TP ¥16,700 (from ¥16,200): Absorbed soaring material prices through quick price pass-through. Expect acceleration of growth products in 2H (report [here](#))

- Even excluding a +¥1.4 bn benefit from copper prices, company-wide OPM improved significantly on an underlying basis to c. 9% (vs. 7.7% yoy).
- Full-year operating profit guidance raised from ¥28.5 bn to ¥33 bn (previous GSe was ¥29.6 bn). Company-wide OPM guidance increased from 8.8% to 10.0%.
 - Energy & Infrastructure: SICONEX second-phase production expansion effect in 2H.
 - Demand for the three growth products is accelerating beyond expectations: e-Ribbon (strong for US DCs), semiconductor contact probes (strong for China), and SICONEX (production expansion effects materializing).
- GSe operating profit revisions: +17%/+3%/+2%

Anritsu | Buy | TP ¥5,400 (from ¥5,300): 1Q order acceleration but unchanged full-year guidance looks conservative (report [here](#))

- Test & measurement orders accelerated further to ¥33.6 bn (yoy +142%, qoq +43%) from the high level in 4Q. Full-year guidance (operating profit ¥20 bn) remains unchanged.
 - Test & Measurement: 800GE is the main driver. We expect margin improvement as the ratio of higher-priced 1.6TE increases.
- GSe operating profit revisions: +2%/+2%/+2%

Industrial electronics 1Q earnings (2): Electrical machinery stocks

Hitachi | Buy | TP ¥6,600 (from ¥6,300): Improvement in Energy was better than expected. The key is how to view the potential for further upside from here. Expect 800VDC-related progress in 2H (report [here](#))

- Energy is performing strongly. The background for the margin improvement in Energy includes (1) improved profitability of order backlog, (2) full-scale contribution of ERP + AI utilization, and (3) PM improvement such as curbing construction (C) in EPC projects.

- DSS is firm in Japan and weaker overseas. Roughly 10% productivity improvement from AI utilization as of end-FY3/26, targeting 30% in FY3/28.
- Hitachi raised full-year adjusted operating profit guidance from ¥1.315 tn to ¥1.408 tn (Adj. EBITA from ¥1.42 tn to ¥1.52 tn). Energy saw the largest upward revision.
- 800V DC racks: The industry is forecasting adoption from around FY3/29, with demonstration tests expected to start in early 2027. The company possesses a full range of SST-related technologies.
- GSe operating profit revisions: +6%/+5%/+4%

Mitsubishi Electric | Buy | TP ¥7,900 (from ¥7,400): FA, air conditioning performing strongly. In addition to earnings, we highlight corporate action catalysts such as shareholder return potential and business portfolio restructuring (report [here](#))

- FA, air conditioning, and semiconductors led earnings in 1Q.
 - FA: Orders ¥287 bn (yoy +42%, qoq +11%). Strong across all FA areas for China machine tools, AI-related, and semiconductor memory, and mgmt expects this to continue at least through FY3/27. Share recovery in both Japan and China.
 - Semiconductors: Strong demand for optical communication devices for DCs, orders yoy +53%. Full-year guidance of ¥43 bn is unchanged, and we see upside potential.
- Full-year adjusted operating profit guidance raised from ¥590 bn to ¥620 bn (adjusted OPM 9.5% → 9.9%).
- Collaborating with Hon Hai on 800V, with sales contribution expected around 2H3/28.
- ROE of 15% targeted for end-FY3/36 at the latest.
- GSe operating profit revisions: +6%/+7%/+3%

Panasonic HD | Buy | TP ¥5,100 (from ¥5,000): AI benefits are spreading beyond BBUs, and the company should continue to benefit from high-margin, high-growth products (report [here](#))

- 1Q adjusted operating profit of ¥186.4 bn (GSe ¥154.2 bn) / operating profit of ¥182.5 bn (GSe ¥130.4 bn) was a significant beat vs GSe.
 - The Industry segment, which had been struggling, improved sharply.
- The upward revision to full-year guidance in 1Q was a surprise: Adjusted operating profit guidance raised from ¥600 bn to ¥650 bn, operating profit from ¥550 bn to ¥590 bn.
 - AI benefits are expanding from BBUs, capacitors, and multi-layer board materials to mounting machines, servo motors, and sensors.
 - AI-related business sales: From ¥230 bn in FY3/26 to ¥310 bn in FY3/27 (+¥40 bn increase from initial forecast of ¥270 bn).
- GSe operating profit revisions: +5%/+5%/+6%

Fuji Electric | Sell | TP ¥12,300 (from ¥12,000): In addition to Energy, Industry is also recovering. We have expectations for a scalable deployment of DC-related products (report [here](#))

- 1Q was led by volume growth in Energy and Industry.
- Full-year operating profit guidance raised from ¥142.5 bn to ¥156.5 bn, but 2H guidance is unchanged (due to Middle East impact and undecided plant projects).
 - Energy: Strong orders for UPS for DCs and overseas semiconductor factories (UL certification obtained at the end of July).
 - Industry: Semiconductor-related (measuring instruments, backup UPS) was better than expected.
 - Semiconductors: Beat due to easing of material price hikes and cost reductions.
- Approx. ¥7 bn in gains from sale of policy-held shares in 1Q (extraordinary gains).
- GSe operating profit revisions: +6%/+5%/+5%

Meidensha | Neutral | TP ¥11,000 (from ¥10,200): Strong performance centered on power equipment both domestically and overseas. Expect SPE-related products to grow from 2H onwards. EV motors/inverters are a potential downside risk (report [here](#))

- 1Q was strong for power infrastructure (domestic, US, India, Singapore, etc.) and social systems (improved profitability at time of order, etc.).
- Full-year operating profit guidance raised from ¥29 bn to ¥33 bn. However, 2H operating profit guidance is unchanged, which seems conservative.
 - Orders for vacuum capacitors for SPE are tracking ahead of expectations, with good prospects for 2Q onwards.
- GSe operating profit revisions: +12%/+11%/+11%

Daihen | Neutral | TP ¥19,100 (from ¥19,000): Unchanged full-year guidance looks conservative despite acceleration in orders for SPE power supplies (report [here](#))

- The highlight of 1Q was the strength of orders.
 - (1) Strong orders across all segments, (2) 1Q orders for SPE plasma power supplies accelerated further to ¥21.7 bn from an already strong ¥20.1 bn in the previous quarter, and (3) we saw a bottoming out of the FA business, which had been a concern.
- Full-year guidance is unchanged (the company typically does not revise in 1Q), but the order level is above the initial assumption, and guidance is likely conservative.
- GSe operating profit revisions: +1%/+1%/+0%

Read-across from hyperscalers: Investment appetite generally bullish

Alphabet, Meta, and Amazon have all raised their FY26 guidance for capex, which remains at a high level. However, they also appear to be impacted considerably by inflation, including elevated memory prices. While all three companies are currently positive on investment, we highlight company commentary about ensuring flexibility in future investment plans, and we are mindful of the risk that the share prices of Japan industrial electronics companies could react sensitively to such moves.

Microsoft

- CY26 capex outlook is effectively unchanged. FY6/26 capex was \$145.3 bn (+65% yoy), and this is expected to continue to grow yoy in FY6/27.
- Compared to a year ago, management's confidence in TAM expansion and product/infrastructure margin improvement has increased, and the company plans to maintain a high ROIC by utilizing its own silicon chips and diversifying its models.
- Microsoft plans to respond flexibly by adjusting expenditures if the demand environment changes (the majority of the company's capex is for short-lead-time components like CPUs and GPUs).

Alphabet

- Raised its FY26 capex guidance from \$180 bn-\$190 bn to \$195 bn-\$205 bn, and expects meaningful growth in FY27.
- 2Q capex was \$44.9 bn. Of this, about 60% was for servers and about 40% was for DCs and network equipment.
- Management has become more bullish on future returns. Still in a supply-constrained phase and will continue to invest as long as attractive returns can be expected.

Amazon

- Raised its FY26 capex guidance from \$200 bn to \$220 bn, reflecting the impact of elevated memory prices. Management said that even this level of capex is not enough to secure sufficient capacity to meet demand, and momentum will continue into 2027.
- Data centers and server/network equipment have different capital cycles, and spending on the latter is done with high visibility of customer demand. The company said it can respond flexibly if the demand environment changes, noting that:
 - Investment in data centers is made two years before the actual installation and monetization of servers, whereas servers and network equipment are purchased a few months before the service launch.
 - Server and network equipment reach break-even in under three years on average. As contracts for AI capacity with customers are for a minimum of about five years, the equipment will generate significant FCF after 2-3 years.

Meta

- Raised its FY26 capex guidance range to \$130 bn-\$145 bn, from \$125 bn-\$145 bn.

- ☐ 2Q capex was \$31.1 bn, mainly driven by investments in servers, DCs, and network infrastructure.
- ☐ Did not disclose FY27 capex guidance, with infrastructure plans fluid.
- Meta emphasized flexibility for its infrastructure plans from 2028 onwards, and said actual decisions to purchase chips and other equipment will be made much later.

Read-across from overseas optical-related companies: Optical supply/demand remains tight. CPO/NPO demand is also accelerating toward launch.

Optical product demand continues to outstrip supply, and overseas companies commented that the supply-demand imbalance for optical fiber will continue until around 2029. In addition, several companies announced the signing of long-term contracts. Companies also said that demand for CPO/NPO is accelerating, and although some investors have pointed to delays, this theme is likely to attract attention again in our view. We expect CW to become mainstream for 1.6T, but since silicon photonics has limitations in operating speed, we believe the importance of EML will increase for 3.2T. Company commentary confirmed these points.

Corning

- Corning's main capacity expansions are based on long-term contracts with customers, and these are being undertaken with appropriate sharing of investment risk and return. Corning said the number of long-term contracts will increase in the future.
- No change in the demand outlook since the May Investor Day.

Prysmian

- Announced on July 20 the conclusion of a 10-year long-term optical cable contract with Molex for up to €5.5 bn. The company expects to receive an advance payment of €550 mn.
- Of the €10 bn sales target for data centers, €5.5 bn is for Molex, and the rest is for hyperscalers and infrastructure operators. These are already under contract, with 5-6 year terms.
 - The contract includes not only a volume guarantee but also an offtake obligation. It also allows for cost increases to be passed on into prices.
- Per the company, it takes about three years to build new production capacity, so shortages in optical fiber will likely continue until at least 2029.
- Prysmian plans to more than double its optical fiber production capacity in the US by 2029.
- The company's Hollow Core Fiber (HCF) has passed Amazon's installation test and has entered the mass production phase. Demand is strong, and the product is expected to command a high margin.

Lumentum

- Per the company, roadmaps for major CPO customers are on track, with shipments for scale-up to begin in the second half of CY2027, and full-scale adoption by customers to begin in 2028.
- Timelines for major NPO customers are about one quarter ahead of those for CPO. Early NPO will use the same ELS high-power lasers as CPO, but will then transition to an integrated design with medium-power lasers embedded inside the optical engine.
- The company said there has been no major change in the supply-demand gap for

EML, and supply is still not keeping up with customer demand.

- CPO/NPO demand is accelerating rapidly, and while the production ramp-up of ultra-high-power lasers is on schedule, supply has become even tighter than in the previous quarter.
- For the 1.6T generation, CW laser demand is very strong because silicon photonics is emerging as a leading option. While EMLs currently hold a very high share at 200G/lane, the company expects the ratio of CW lasers to increase with the ramp-up of 1.6T.
- At the same time, Lumentum notes that demand for EML also remains firm, and severe supply shortages continue. It believes EML technology will regain the spotlight for the next-generation 3.2T, as silicon photonics will likely face technical limitations.

Coherent

- The company is not seeing any postponement of CPO demand; rather, it is receiving customer requests to pull forward timelines alongside increased demand.
- Over the past 3-6 months, customer engagement regarding both CPO and NPO has increased sharply.
- Management expects CPO sales for scale-up applications to ramp up in earnest from the second half of CY2027, as per previous guidance. It expects scale-out sales to ramp up first.
- As Coherent is the largest transceiver supplier in the US, it expects to benefit from US import restrictions on optical transceivers, if implemented.
- Currently, the company views InP production capacity as its single biggest bottleneck.

Read-across from overseas electrical machinery companies: 800VDC, MV UPS, and modular DCs are key trends. On the technical front, the industry is shifting toward requiring comprehensive capabilities.

Key trends include (1) the shift to 800VDC (using technology such as SSTs), (2) increased demand for medium-voltage (MV) UPS systems expected during the 800VDC transition phase, and (3) growing demand for modular solutions to address labor shortages and shorten construction timelines. Offering modular systems requires a comprehensive suite of diverse technologies, including power equipment and cooling, and technology acquisition through M&A appears to be becoming active.

Among Japanese companies, Hitachi offers container-type DCs, and Mitsubishi Electric, which has a broad product portfolio that includes power equipment, cooling systems, and power semiconductors, also appears well-placed. Fuji Electric offers power equipment and power semiconductors, and is also proactive, including its development work on the world's first ejector cooling system.

GE Vernova

- Of the \$14 bn order intake in the Electrification business in 1H of this fiscal year, \$5 bn was for data centers.
 - Orders include SST (Solid State Transformer), and the company said deliveries for a 5MW indoor SST prototype to a hyperscaler will begin in the second half of this year, leading to a testing period. Full-scale order contributions are expected from 2027 onward.
 - Joint development is also underway with another hyperscaler for a 6MW outdoor SST.

Development of MV UPS is also underway, and the company expects to receive orders earlier than for SST.

ABB

- In data center products, demand for MV UPS is increasing, and the company is expanding its market share.
- At present, it has taken no orders for 800VDC-related products, and full-scale commercialization is expected from the second half of 2027 or from 2028.
- ABB thinks acquisition of silicon carbide technology through the purchase of France's Advantics will also contribute to its business in the DC field.

Vertiv

- The company expects customer verification in 2026 and adoption in 2027 for its 800VDC power portfolio at the rack/pod level. It looks to supply MV BESS/UPS and 800VDC sidecar products.
- As to 800VDC architecture for the entire server room beyond that, the company plans for customer verification in 2027 and for adoption to begin in 2028. It looks to supply MV UPS and SST products.
- SST is currently in the product development phase.

Eaton

- SST is a key element in the transition to 800VDC. Eaton aims for an edge up on competitors through its acquisition of Resilient Power.
- The company sees transformers (SST), DC breakers, power electronics (UPS), and cooling (cold plate/CDU) as important technology areas. Having a maintenance service network in addition to products leads to a competitive advantage.
- The shift to modular solutions is rapidly accelerating against the backdrop of a shortage of electricians and plumbers. The company acquired Fiberbond in response to this trend. It thinks the move enhances its competitive advantage by packaging its switchgear and UPS with Fiberbond's prefabricated technology.

Flex

- Flex said its transition to higher voltage is progressing very smoothly. Currently, 400V is being introduced, followed by 800V.
- Its modular offerings include mini data center systems with integrated functions, and modular power systems for utilities and data centers. Demand is very strong as these can shorten on-site construction periods.
- One of the company's strengths is its ability to jointly design next-generation infrastructure with hyperscalers, given its in-house development capabilities/assets in advanced power designs such as 400V, 800V, and SST, as well as liquid cooling cold plate technology.

Price Target Risks and Methodology - Fujikura

We are Buy rated. Our 12-month price target of ¥7,600 is based on an EV/EBITDA of 25.0X (FY3/28E; multiple based on the EV/EBITDA and EBITDA margin correlation across its domestic and global competitors). Downside risks: **Telecommunications:** A delay in benefits from hyperscaler investment, a prolonged restraint in telecom carrier investment, and competitors in ultra-high-density optical fiber cables catching up with Fujikura. **Electronics:** A greater-than-expected slowdown in the smartphone market and/or more intense competition. **Automotive products:** Automobile production volume undershooting our assumptions. **Companywide:** Forex swings.

Price Target Risks and Methodology - Furukawa Electric

Our 12-month target price is ¥6,400. We apply an EV/EBITDA multiple of 20X (FY3/28E, based on the correlation between EV/EBITDA and EBITDA growth rate for domestic and overseas competitors). We are Buy rated. Risks: **Communications solutions:** If sales expansion of high-margin optical products for data centers does not proceed as expected and there is no improvement in profits. If the profitability of the acquired Furukawa FTEL Optical Components (FFOC) deteriorates again due to factors such as changes in competitiveness. If generative AI data center investment slows for reasons such as delays in data center construction due to supply shortages of some essential products, or if investment in generative AI data centers starts to wane as project profitability deteriorates due to price hikes for component products. **Energy infrastructure:** If demand for both high-voltage and medium/low-voltage cables slows due to factors such as a slowdown in generative AI investment. If the company decides

on capex for HVDC cables but fails to secure the expected orders from customers.

Electronics & automotive systems: If auto production volume or sales of models supplied by the company do not grow as much as expected. If fluctuations in auto production volume are larger than expected and the company is unable to absorb fixed costs through measures such as price revisions. If material prices surge more than expected and the company is unable to pass these on to customers. **Functional products:** If, in the copper foil business, sales expansion of high-function circuit foils does not proceed as planned and profitability improvement is not expected, if orders for thermal products for generative AI are not booked as sales for some reason or are delayed, or if the acquisition of new customers for semiconductor manufacturing tape does not progress as expected.

Price Target Risks and Methodology - Sumitomo Electric Industries

We are Buy rated. Our 12-month target price is ¥3,300. We apply a target EV/EBITDA multiple of 13.0X (based on FY3/28E, using an SOTP approach). Key downside risks:

Automotive segment: Decline in automobile production volume; slower-than-expected pass-through of material procurement costs to selling prices. **Infocommunications**

segment: Longer-than-expected inventory adjustments due to a slowdown in hyperscaler capex; catch-up by competitors in ultra-high density optical fiber cables.

Environment & energy segment: Delays in new and replacement power infrastructure projects due to difficulties in procuring materials and securing workers;

slower-than-expected earnings contributions from the Japanese government's clean energy strategy. **Industrial materials and other segments:** Slowdown in demand for cemented carbide tools, etc., due to a macroeconomic slowdown; increase in

manufacturing costs for sintered parts, etc., due to rising energy prices. **Company-wide:** FX fluctuations; sustained high material prices.

Price Target Risks and Methodology - SWCC

Valuation methodology: We are Buy rated. Our 12-month target price of ¥16,700 is based on an EV/EBITDA of 11.5X (FY3/28E, multiple based on the correlation between EV/EBITDA and EBITDA margin for global competitors).

Key downside risks: **Energy & infrastructure segment:** The balancing out of supply and demand for wires/cables and power equipment in Japan, resulting in lower selling prices; a lack of progress with the further leveling of construction work and improvement of personnel allocation efficiency, resulting in slower-than-expected profit margin improvement; an influx of foreign workers significantly alleviating the shortage of construction workers in Japan. **Communication & components segment:** Sharp declines in optical fiber cable selling prices due to a large supply of inexpensive products from China, India, and other countries, and profitability deteriorating as a result; home appliance sales in China and Japan falling short of expectations; acceleration in the trend toward a paperless society, resulting in a steeper-than-expected decline in sales of printer rollers. A slower-than-expected shift to EVs by the company's customers, leading to lower demand; significant declines in automobile production volume, including EVs; increases in prices of materials such as copper, with the company unable to pass these increases on to customers. **Company-wide:** The implementation of large-scale growth investments aimed at furthering overseas expansion in the electronic equipment & components and communication & industrial devices segments, with returns on these investments falling short of expectations and significantly impacting

company-wide margins; yen appreciation.

Price Target Risks and Methodology – Anritsu

Our 12-month target price is ¥5,400, based on a target EV/EBITDA multiple of 17X on FY3/28E (our target multiple is based on the correlation between EV/EBITDA and EBITDA margin for global competitors). We are Buy rated.

Risks: **Test and Measurement:** Demand for 5G applications has already cooled, and there is a risk that sales may not grow as expected, leading to a deterioration in profit margins. For the data center business, uncertainty due to US tariffs could lead to slower decision-making by customers, resulting in stagnating or weaker demand. Testing methods may change from 100% testing to sampling testing. **PQA:** Possible decline in domestic market share, or the failure of sales expansion to proceed as expected in regions where the company is accelerating business development, such as North America, Europe, and China. **Environmental Measurement:** The possibility that earnings in battery test equipment fail to grow as expected due to a slowdown in the BEV market. **Company-wide:** Disappointing returns from M&A and/or growth investment. An increase in the R&D expense ratio. Yen appreciation.

Price Target Risks and Methodology – Hitachi

We are Buy rated. Our 12-month target price of ¥6,600 for Hitachi is based on an EV/EBITDA multiple of 13X (base year is FY3/28E; the multiple is based on the EV/EBITDA and EBITDA margin correlation across its domestic and global competitors).

Risks: **Digital systems & services:** delays and losses on large projects, weaker IT capex sentiment at customers accompanying a macroeconomic downturn, reemergence of supply disruptions for servers and other products, slower standalone growth at GlobalLogic, slower-than-expected realization of synergies between Hitachi and GlobalLogic; **Energy (Power grid):** delays on power transmission/distribution projects, a sharp rise in input costs; **Connective industries:** weaker new construction demand in China, losing out on new repair/maintenance orders to competitors in Japan, semiconductor production equipment (SPE) prices not improving over the long term a risk for the measurement and analysis systems business (Hitachi High-Tech); **Companywide:** Forex swings (¥1 appreciation vs. USD has an estimated negative impact of ¥7 bn on sales and ¥0.8 bn on adjusted EBITA) and an increase in purchase price allocation (PPA) amortization due to forex swings.

Price Target Risks and Methodology – Mitsubishi Electric

Valuation methodology: We are Buy rated. Our 12-month target price of ¥7,900 is based on an FY3/28E EV/EBITDA of 14X (based on the correlation between EV/EBITDA and EBITDA margins of global competitors).

Key downside risks: **Industrial automation systems (FA):** Marginal profit growth on top-line expansion failing to offset higher depreciation from the company's new production facilities if the slowdown in orders is prolonged. **Industrial automation systems (automotive equipment):** A lack of progress exiting from the car multi-media business, challenges finding partners in the CASE business, or a sharp slowdown in production at client automakers. **Home appliances (HVAC):** Challenges achieving production scale due to difficulties in procuring components and other factors, or deteriorating margins in the ATW business amid a stronger competitive landscape.

Power semiconductors: Inability to secure sufficient sales/orders to cover new capex, or more intense price competition on significant investment by Chinese companies and other rivals. **Elevator & escalator business:** Stalled new construction demand in China and other markets, or the outflow to third parties of high-margin maintenance contracts in the domestic business. **Infrastructure systems:** Project delays or larger-than-expected losses generated in the defense & space systems business. **Companywide:** Weaker prospects for synergies realized between businesses, and yen appreciation.

Price Target Risks and Methodology – Panasonic Holdings

We are Buy rated. Our 12-month target price is ¥5,100. We apply an EV/EBITDA multiple of 9.0X (FY3/28E base year, based on the historical correlation between EV/EBITDA and EBITDA margin). Risks: **Companywide:** (1) Weaker-than-expected progress with fixed-cost reductions or insufficiently realized benefits from business reforms across the company as a whole, (2) weaker growth prospects due to the loss of key personnel during the fixed-cost reduction process, (3) slower-than-expected progress in revamping the business portfolio as a result of delays selecting buyers, (4) additional investment and depreciation burdens arising due to increased demand for cylindrical batteries, and (5) forex trends (we estimate that every ¥1 appreciation vs. the USD/EUR/CNY impacts annual adjusted operating profits by -¥0.9 bn/-¥1.0 bn/+¥4.7 bn, respectively). **Lifestyle updates business:** Weaker demand for residential/commercial air conditioners due to a downturn in the global economy, or the loss of market share to more popular or cheaper products at competitors. **Panasonic Connect:** (1) A slump in the company's aircraft services business if the "bring your own devices" trend were to become more common for in-flight entertainment on commercial aircraft, (2) weaker-than-expected sales growth at acquired company Blue Yonder (standalone basis), (3) major impairment losses on Blue Yonder if the calculation of its present value were to require a higher WACC due to rising interest rates, softer demand or other factors (indication of impairment is checked every quarter), and (4) a longer-than-anticipated decline in demand for various mounting systems used in process automation, such as the manufacture of PCs and smartphones. **Panasonic Energy:** Tesla opting to increase its use of batteries made by other companies, leading to stronger pricing pressures, a further slowdown in the EV market, or increased competition in the generative AI-related battery backup unit (BBU) business. **Panasonic Industry:** Weaker-than-expected factory automation-related demand, stiffer competition in the generative AI-related hybrid capacitor and circuit board material businesses, or a longer-than-expected downturn in demand for smartphones and other consumer electronics.

Price Target Risks and Methodology – Fuji Electric Co.

We have a Sell rating. Our 12-month price target of ¥12,300 is based on an EV/EBITDA of 8.0X (base year is FY3/28E, multiple based on historical EV/EBITDA and EBITDA growth rate correlation). Risks: **Semiconductor business:** An increase in demand for automotive power semiconductors if the EV market, which is currently showing signs of a slowdown, reverses course and begins to expand. The company's power semiconductors starting to be used in high-voltage, advanced generative AI data centers, an area where Infineon is focusing its efforts. **Energy business:** Earlier-than-expected adoption of the company's data center power-related equipment (power distribution equipment, UPS, control panels, etc.) by more data center

customers, including US hyperscalers. Demand for the company's power equipment products could increase if domestic power companies make further investments to strengthen their power grids in response to power demand from data centers and other sources. The company's product positioning in generative AI could improve through the development of new products for high-voltage, advanced generative AI data centers.

Industry business: A faster-than-expected market recovery in the automation field, and/or an easing of competition with Chinese local companies and others. **Food & beverage distribution business:** Improved investment sentiment at retailers for vending machines and store showcases. **Companywide:** Broad yen depreciation.

Price Target Risks and Methodology - Meidensha

Our 12-month target price is ¥11,000. We apply an EV/EBITDA multiple of 9.0X (base year FY3/28), based on the correlation between EV/EBITDA and CROCI. We have a Neutral rating. Key risks: **Power infrastructure:** Better-than-expected improvement in domestic/overseas profitability as power equipment prices rise further on higher demand centered on data centers etc., or profitability improvement falls short of expectations as volume/price increases are slower than expected. **Social systems:** Although the order backlog is currently building, progress on construction has been slow due to factors such as labor shortages, delaying conversion to sales and profits. A rapid acceleration in conversion to sales and profits if these bottlenecks are resolved/a failure to convert to sales and profits as expected due to labor shortages. **Mobility and electrical components:** An increase/decrease in auto production volume, an increase/decrease in sales of vehicle models equipped with EV motors/inverters, or tailwinds from a stronger-than-expected recovery in the semiconductor production equipment (SPE) market/headwinds from a slower-than-expected recovery. **Companywide:** Yen depreciation/appreciation.

Price Target Risks and Methodology - Daihen

We are Neutral-rated. Our 12-month price target of ¥19,100 is based on FY3/28E EV/EBITDA of 12X (multiple based on historical EV/EBITDA and EBITDA growth rate correlation). Risks: **Material Processing:** Improvement/deterioration in the SPE/semiconductor market. **Energy Management:** An increase/decrease in various replacement demand from power companies, faster-than-expected progress in converting demand into sales, or weak progress converting demand into sales due to project delays. Another risk is favorable/unfavorable progress in the post-merger integration (PMI) of recently acquired Tohoku Electric Manufacturing and Shihei Technical. **Factory Automation:** Greater-than-expected increase/decrease in capex trends in the auto and other sectors. Another risk is a faster-/slower-than-expected turnaround of its recently acquired European welding machine maker. **Companywide:** A weaker/stronger yen.

Disclosure Appendix

Reg AC

We, Ryo Harada and Hiroki Muramatsu, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

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Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Quantum

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Disclosures

Rating and pricing information

Anritsu (Buy, ¥3,650), Daihen (Neutral, ¥13,910), Fuji Electric Co. (Sell, ¥14,900), Fujikura (Buy, ¥5,665), Furukawa Electric (Buy, ¥4,057), Hitachi (Buy, ¥5,767), Meidensha (Neutral, ¥12,370), Mitsubishi Electric (Buy, ¥6,153), Panasonic Holdings (Buy, ¥4,721), SWCC (Buy, ¥14,260) and Sumitomo Electric Industries (Buy, ¥2,386)

The rating(s) for Anritsu, Daihen, Fuji Electric Co., Fujikura, Furukawa Electric, Hitachi, Meidensha, Mitsubishi Electric, Panasonic Holdings, SWCC and Sumitomo Electric Industries is/are relative to the other companies in its/their coverage universe: Anritsu, Daihen, Fuji Electric Co., Fujikura, Furukawa Electric, Hitachi, Meidensha, Mitsubishi Electric, Panasonic Holdings, SWCC, Sumitomo Electric Industries

Company-specific regulatory disclosures

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this

compendium can be found in the latest relevant published research

Target price history table(s)

Sumitomo Electric Industries (5802.T)

Date of report	Target price (¥)	Closing price (¥)
31-Jul-26	3,300	2,184
07-Jul-26	3,400	2,443
12-May-26	12,500	2,913
20-Apr-26	11,500	2,494
13-Mar-26	12,300	2,598
03-Feb-26	8,700	1,914
05-Jan-26	7,350	1,678
31-Oct-25	6,700	1,413
09-Oct-25	5,500	1,158
10-Sep-25	5,000	1,073
31-Jul-25	4,500	940
07-Jul-25	4,300	756
13-May-25	2,800	658
16-Apr-25	2,500	516
04-Feb-25	3,150	752
22-Jan-25	2,900	727
01-Nov-24	2,670	583
07-Oct-24	2,630	606
07-Aug-24	2,650	530
18-Jul-24	2,700	600
09-Apr-24	2,600	602
12-Mar-24	2,400	556
05-Feb-24	2,150	501
19-Dec-23	1,900	443
02-Nov-23	1,850	404

Fujikura (5803.T)

Date of report	Target price (¥)	Closing price (¥)
07-Aug-26	7,600	5,185
07-Jul-26	7,500	5,072
18-Jun-26	7,600	4,461
14-May-26	7,100	6,355
20-Apr-26	7,000	5,529
13-Mar-26	31,000	4,420
09-Feb-26	27,000	3,659
05-Jan-26	23,400	3,074
07-Nov-25	22,700	3,403
09-Oct-25	18,800	2,798
10-Sep-25	15,200	2,272
07-Aug-25	13,000	1,918
07-Jul-25	9,400	1,235
13-May-25	6,600	957
16-Apr-25	6,700	761
10-Feb-25	8,400	1,113
22-Jan-25	7,600	1,157
07-Nov-24	7,200	968
07-Oct-24	7,000	831
02-Sep-24	5,100	736
08-Aug-24	5,200	423
18-Jul-24	4,800	518
13-May-24	3,100	474
06-May-24	3,200	463
18-Apr-24	2,800	444
09-Apr-24	2,700	422
24-Mar-24	2,420	358
12-Mar-24	2,300	316
08-Feb-24	1,580	210
19-Dec-23	1,520	174
08-Nov-23	1,420	192
17-Oct-23	1,510	200

Fuji Electric Co. (6504.T)

Date of report	Target price (¥)	Closing price (¥)
30-Jul-26	12,300	12,695
07-Jul-26	12,000	13,215
28-Apr-26	11,300	12,650
29-Jan-26	11,700	11,750
19-Jan-26	11,800	12,500
05-Jan-26	12,200	12,090
30-Oct-25	11,700	11,450
08-Oct-25	11,000	10,200
31-Jul-25	8,500	7,577
25-Apr-25	7,800	6,322
16-Apr-25	8,000	5,905
30-Jan-25	8,700	7,719
22-Jan-25	9,000	8,395
07-Oct-24	11,400	8,424
07-Aug-24	11,600	7,476
25-Apr-24	11,800	10,015
18-Apr-24	11,700	10,035
09-Apr-24	11,600	10,040
04-Apr-24	11,500	9,794
12-Mar-24	10,700	9,012
31-Jan-24	8,500	7,459

Furukawa Electric (5801.T)

Date of report	Target price (¥)	Closing price (¥)
06-Aug-26	6,400	3,909
07-Jul-26	7,200	3,674
12-May-26	76,000	5,043
20-Apr-26	53,000	4,307
30-Mar-26	37,000	3,095
13-Mar-26	34,000	3,069
09-Feb-26	23,000	1,750
05-Jan-26	10,300	1,054
10-Nov-25	10,000	946
09-Oct-25	10,700	986
10-Sep-25	9,200	925
07-Aug-25	8,100	907
07-Jul-25	7,900	697
22-May-25	4,600	624
16-Apr-25	3,600	418
03-Mar-25	6,100	623
22-Jan-25	6,700	792
07-Nov-24	3,850	403
07-Oct-24	3,400	362
13-May-24	3,300	345
18-Apr-24	3,000	345

Fuji Electric Co. (6504.T)

Date of report	Target price (¥)	Closing price (¥)
19-Dec-23	8,200	5,956
17-Oct-23	7,900	6,458

Furukawa Electric (5801.T)

Date of report	Target price (¥)	Closing price (¥)
09-Apr-24	2,900	333
12-Mar-24	2,700	292
08-Feb-24	2,220	277
24-Jan-24	2,260	253
19-Dec-23	1,990	217
09-Nov-23	1,930	232
17-Oct-23	2,250	228

SWCC (5805.T)

Date of report	Target price (¥)	Closing price (¥)
07-Aug-26	16,700	12,960
07-Jul-26	16,200	11,910
14-May-26	17,500	16,990
20-Apr-26	17,300	14,090
13-Mar-26	17,200	14,230
05-Jan-26	11,900	10,960
12-Nov-25	10,700	9,450
09-Oct-25	9,200	7,880
10-Sep-25	9,100	8,300
08-Aug-25	8,900	7,920
07-Jul-25	9,100	7,800
13-May-25	8,600	7,160
16-Apr-25	8,400	5,850
07-Feb-25	9,700	7,310
20-Jan-25	9,600	7,080

Panasonic Holdings (6752.T)

Date of report	Target price (¥)	Closing price (¥)
30-Jul-26	5,100	3,584
07-Jul-26	5,000	4,400
29-May-26	4,220	3,700
30-Apr-26	4,000	3,203
19-Feb-26	2,600	2,525
04-Feb-26	2,500	2,194
19-Jan-26	2,450	2,351
05-Jan-26	2,300	2,079
30-Oct-25	2,100	1,924
23-Jul-25	2,000	1,506
10-Feb-25	2,500	1,784
04-Feb-25	1,770	1,530
23-Jan-25	1,750	1,548
31-Oct-24	1,450	1,238
07-Oct-24	1,400	1,318
18-Jul-24	1,450	1,318
09-May-24	1,580	1,387
24-Apr-24	1,630	1,393
12-Mar-24	1,650	1,394
02-Feb-24	1,900	1,383
19-Dec-23	1,950	1,370
30-Oct-23	1,900	1,437
17-Oct-23	2,000	1,585

Meidensha (6508.T)

Date of report	Target price (¥)	Closing price (¥)
31-Jul-26	11,000	9,620
14-May-26	10,200	9,440
30-Jan-26	5,900	6,040
19-Jan-26	5,700	6,260
05-Jan-26	6,000	5,880
30-Oct-25	6,350	7,350
08-Oct-25	6,400	5,790
31-Jul-25	5,000	5,740
13-May-25	4,500	4,350
16-Apr-25	4,600	3,455
31-Jan-25	4,000	4,000
22-Jan-25	3,800	4,310
28-Oct-24	3,500	4,020
18-Jul-24	3,300	3,400
10-May-24	3,000	3,760
18-Apr-24	2,700	3,310
12-Mar-24	2,600	2,744
27-Feb-24	2,400	2,763
31-Jan-24	2,450	2,664
19-Dec-23	2,250	2,372

Daihen (6622.T)

Date of report	Target price (¥)	Closing price (¥)
04-Aug-26	19,100	14,780
07-Jul-26	19,000	16,000
11-May-26	20,900	17,620
03-Feb-26	13,100	11,690
19-Jan-26	12,500	11,810
05-Jan-26	11,500	10,660
06-Nov-25	11,200	10,390
08-Oct-25	10,000	8,980
05-Aug-25	8,100	6,970
08-May-25	8,000	6,770
16-Apr-25	8,300	5,660
07-Apr-25	8,200	5,000
22-Jan-25	9,500	7,750
07-Oct-24	9,400	7,010
05-Aug-24	10,000	5,490
18-Jul-24	10,600	7,730
09-May-24	10,400	9,930
09-Apr-24	10,600	9,710
12-Mar-24	10,300	8,560
19-Dec-23	6,000	6,190
02-Nov-23	5,500	4,800
17-Oct-23	5,300	4,830

Mitsubishi Electric (6503.T)

Date of report	Target price (¥)	Closing price (¥)
31-Jul-26	7,900	5,912
07-Jul-26	7,400	5,947
28-Apr-26	7,000	6,078
19-Feb-26	6,400	5,731
03-Feb-26	5,950	5,000
19-Jan-26	5,850	5,100
05-Jan-26	5,350	4,790
31-Oct-25	5,200	4,317
08-Oct-25	4,500	4,089
31-Jul-25	4,100	3,342
28-Apr-25	3,600	2,620
16-Apr-25	3,500	2,493
31-Oct-24	3,250	2,388
07-Oct-24	3,100	2,461
02-Sep-24	3,250	2,461
07-Aug-24	3,300	2,161
18-Jul-24	3,400	2,804
26-Apr-24	3,300	2,393
12-Mar-24	3,200	2,416
05-Feb-24	2,600	2,214
19-Dec-23	2,500	2,001
17-Oct-23	2,400	1,815

Hitachi (6501.T)

Date of report	Target price (¥)	Closing price (¥)
29-Jul-26	6,600	4,957
07-Jul-26	6,300	4,942
27-Apr-26	6,100	5,356
19-Feb-26	5,700	4,992
29-Jan-26	6,100	5,077
05-Jan-26	6,000	5,068
17-Nov-25	5,900	5,122
30-Oct-25	5,600	4,963
08-Oct-25	5,300	4,477
28-Apr-25	4,900	3,747
16-Apr-25	4,800	3,260
31-Jan-25	5,600	3,946
22-Jan-25	5,200	3,929
23-Oct-24	5,400	3,896
07-Oct-24	4,870	3,904
02-Sep-24	4,830	3,603
31-Jul-24	4,850	3,288
18-Jul-24	4,800	3,663
11-Jun-24	18,300	3,412
07-Jun-24	18,000	3,270
03-Jun-24	17,600	3,313
26-Apr-24	17,100	2,695
12-Mar-24	16,700	2,467
31-Jan-24	13,500	2,335
19-Dec-23	13,000	1,988
16-Nov-23	12,300	2,009
16-Oct-23	12,000	1,806

Anritsu (6754.T)

Date of report	Target price (¥)	Closing price (¥)
30-Jul-26	5,400	3,553
07-Jul-26	5,300	4,056
27-Apr-26	4,700	3,755
20-Apr-26	4,000	3,466
13-Mar-26	3,500	2,891
29-Jan-26	2,700	2,369
05-Jan-26	2,600	2,288
30-Oct-25	2,400	1,887
11-Sep-25	2,300	1,745

Price targets shown in table(s) are unadjusted for corporate actions.

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